EVALUATING THE SUCCESS OF ECONOMIC POLICIES AT ACHIEVING AUSTRALIA'S ECONOMIC OBJECTIVES

WHAT ARE AUSTRALIA'S KEY ECONOMIC OBJECTIVES?

Sustainable Economic Growth
Rising GDP over time

Low Unemployment
More people in work

Price Stability (Low Inflation)
Stable cost of living

External Balance
Manage trade & current account

Strong Living Standards
Higher real household income

Environmental Sustainability
Green & resilient growth

Why It Matters Now

- Inflation has eased but cost-of-living is still high
- Unemployment is low, but skills shortages remain
- Global uncertainty (trade, interest rates) affects growth

HOW TO EVALUATE POLICY SUCCESS

1. **Identify the Policy** → e.g. RBA cash rate changes, Stage 3 tax cuts, infrastructure spending, energy subsidies
2. **Link to Objectives** → Which objective(s) is the policy designed to achieve?
3. **Select Key Indicators (KPIs)**
   - GDP growth
   - CPI inflation
   - Unemployment rate
   - Wages growth
   - Current account balance
4. **Collect & Analyse Data**
   - Use ABS, RBA & Treasury data
   - Compare before vs after
   - Control for global shocks (e.g. commodity prices)
5. **Judge Effectiveness**
   - Was the objective met?
   - Did it create any trade-offs? (e.g. lower inflation but slower growth)

RECENT EXAMPLES IN AUSTRALIA

RBA Cash Rate Hikes (2022–24)

- Reduced inflation from 7.8% → 3.5%
- But slowed GDP growth

Stage 3 Tax Cuts (2024–25)

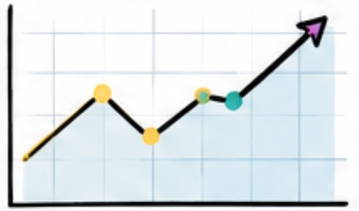
- Boosted household income & consumption
- Risk: may add to inflation pressure

Infrastructure Spending (Priority Projects)

- Creates jobs
- Boosts long-term growth & productivity

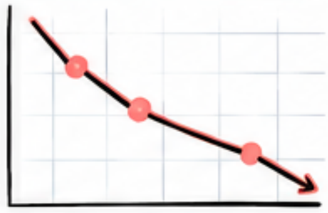
MEASURING SUCCESS: KEY INDICATORS & TRENDS

GDP Growth (%)



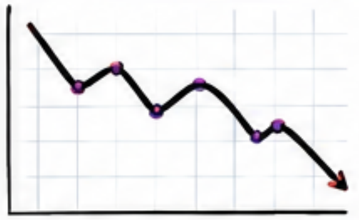
Sustained ↑ = Growth objective met

Inflation (CPI %)



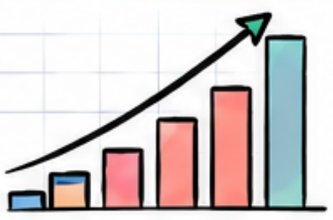
Target: 2–3% range

Unemployment Rate (%)



Lower = Labour market strength

Real Wage Growth



Higher = Living standards improving

STEP-BY-STEP EVALUATION CHECKLIST

- [ ] Define the economic policy
- [ ] Match it to 1 or more objectives
- [ ] Track relevant economic indicators
- [ ] Compare data (before vs after)
- [ ] Assess trade-offs & unintended effects
- [ ] Conclude: Successful, Partially, or Not Yet

WHAT SUCCESS LOOKS LIKE

- Inflation stable around 2–3%
- Unemployment ~4–4.5% or lower
- Positive GDP growth (2–3% trend)
- Rising real wages & productivity
- Sustainable government budget position